



Applied Financial Ethics in IT / Technology

SESSION / LECTURE: 6

COURSE: Financial Savviness

INSTRUCTOR:

Shubhashish Biswas



Session 6 Agenda



6.1

Financial impact of emerging technologies

6.2

Ethical leadership of digital & AI transformation

6.3

Case studies



SESSION PRE-REQUISITE

Corporate and Financial Ethics (& Governance)



Financial Ethics

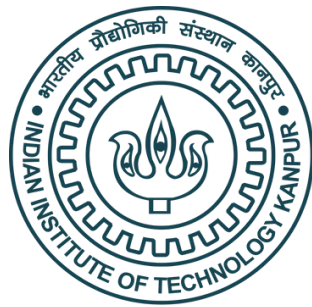
Definition and Importance

Financial ethics refers to the principles and standards that guide the behavior of individuals and organizations in financial transactions and decision-making processes. It involves adhering to moral guidelines and maintaining honesty, integrity, and fairness in financial practices.

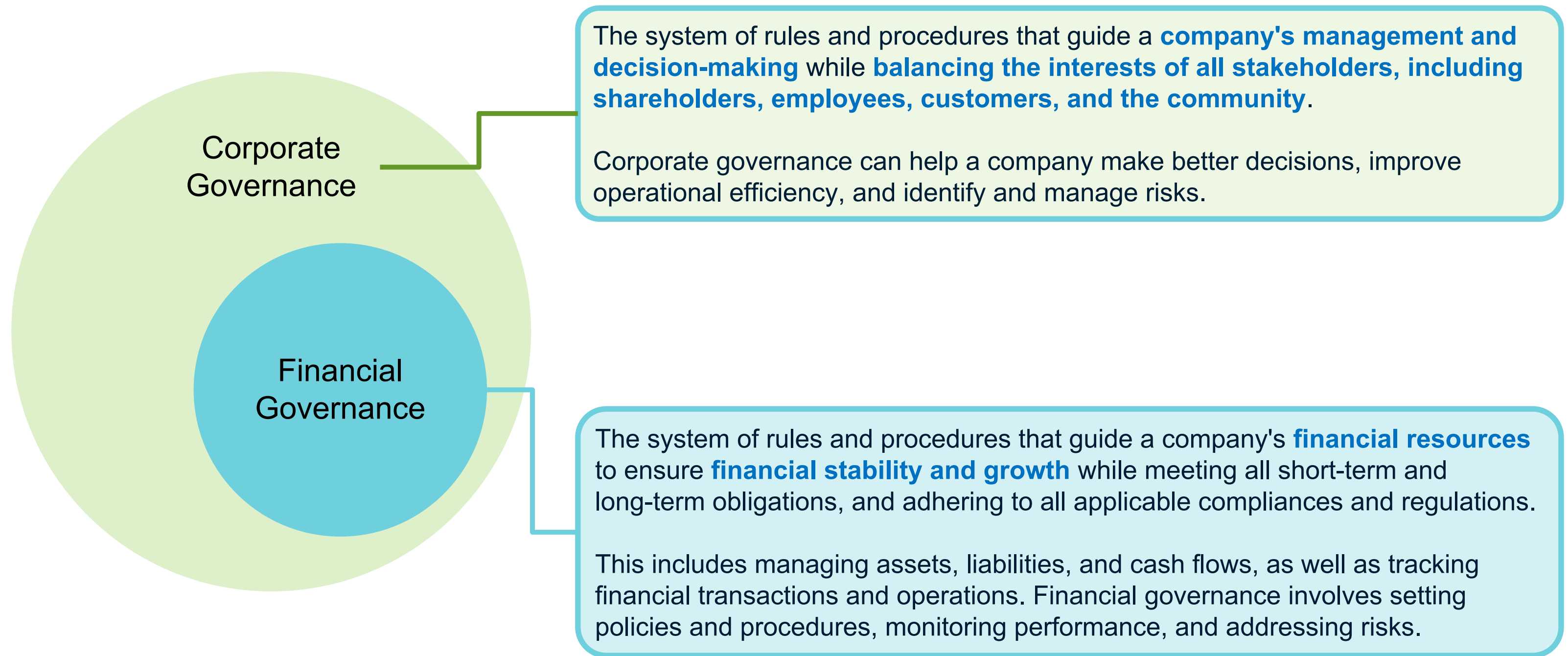


Key Areas of Financial Ethics

1. **Honesty and Transparency:** Financial professionals are expected to present information truthfully and avoid misleading stakeholders. This includes accurate reporting of financial statements and avoiding deceptive practices.
2. **Conflict of Interest:** Financial decisions should be made impartially, without any personal or professional conflicts of interest. It's crucial for financial professionals to disclose any potential conflicts that might affect their judgment.
3. **Confidentiality:** Maintaining the confidentiality of financial information is essential. Financial professionals should protect sensitive data and not misuse it for personal gain.
4. **Accountability:** Individuals and organizations are accountable for their financial actions. This means taking responsibility for decisions and being prepared to justify and explain financial practices to stakeholders.
5. **Compliance:** Adhering to laws, regulations, and standards governing financial practices is fundamental. This includes compliance with accounting standards, anti-money laundering laws, and tax regulations.



Difference between Corporate & Financial Governance





Corporate Governance

Definition and Importance

Corporate governance refers to the systems, principles, and processes by which a company is directed and controlled. It encompasses the mechanisms through which organizations are accountable to their stakeholders, including shareholders, employees, customers, and the broader community.



Key Areas of Financial Ethics

1. **Board Structure and Responsibilities:** An effective board of directors is crucial for sound corporate governance. The board should have a clear structure, including independent directors who can provide unbiased oversight. Responsibilities include setting company strategy, overseeing management, and ensuring accountability.
2. **Audit Committees:** These are specialized committees within the board that oversee financial reporting and auditing processes. They ensure that financial statements are accurate and comply with relevant regulations.
3. **Risk Management:** Corporate governance involves identifying, assessing, and managing risks. This includes implementing robust internal controls to mitigate financial and operational risks.
4. **Shareholder Rights:** Protecting the rights of shareholders is a fundamental aspect of corporate governance. This includes ensuring equitable treatment of all shareholders and providing mechanisms for shareholder input and voting.
5. **Ethical Conduct:** Promoting ethical behavior throughout the organization is a key component of corporate governance. This involves establishing codes of conduct and ensuring compliance with ethical standards.



FINANCIAL CONCEPTS – A LEARNING PRE-REQUISITE

Financial Governance (1 of 2)



Definition and Importance

Financial Governance is a **subset of corporate governance** that specifically focuses on the structures, policies, and processes by which an organization manages its financial operations, risks, and reporting. It ensures that financial resources are managed effectively and that financial reporting is accurate and transparent.



Key Components of Financial Governance

1. Financial Oversight:

- **Board of Directors**: The board plays a critical role in overseeing financial governance by setting strategic financial goals, approving budgets, and ensuring that financial policies align with the organization's objectives.
- **Audit Committees**: These specialized committees are responsible for overseeing the financial reporting process, including the internal and external audit functions. They ensure that financial statements are accurate and comply with legal and regulatory requirements.

2. Financial Controls:

- **Internal Controls**: These are processes and procedures designed to ensure the integrity of financial and accounting information, promote accountability, and prevent fraud. Examples include separation of duties, authorization requirements, and regular reconciliations.
- **Risk Management**: Effective financial governance involves identifying, assessing, and managing financial risks. This includes implementing strategies to mitigate risks related to market fluctuations, credit, liquidity, and operational issues.



Financial Governance (2 of 2)



Key Components of Financial Governance

3. Financial Reporting:

- **Transparency:** Organizations are required to disclose their financial performance and position transparently. This includes timely and accurate financial statements, management discussion and analysis, and disclosures related to financial risks.

- **Compliance:** Financial governance ensures adherence to relevant accounting standards (e.g., IFRS, GAAP) and regulatory requirements. This helps maintain the credibility and reliability of financial reports.

4. Ethical Considerations:

- **Integrity and Accountability:** Financial governance emphasizes ethical behavior and accountability in financial practices. This involves avoiding conflicts of interest, ensuring truthful reporting, and maintaining confidentiality of sensitive information.

5. Strategic Financial Management:

- **Budgeting and Forecasting:** Effective financial governance involves rigorous budgeting and forecasting processes to align financial resources with strategic objectives. This includes monitoring financial performance against budgets and making adjustments as needed.
- **Investment and Capital Management:** Decisions regarding capital allocation, investments, and financing strategies are crucial aspects of financial governance. These decisions should be made based on thorough analysis and aligned with the organization's long-term goals.



Rules, Policies, Regulation, Compliance, Laws

Rules:

- **Definition:** Specific guidelines or instructions that dictate how particular tasks or activities should be performed.
- **Scope:** Usually narrower in scope and more detailed than policies.
- **Example:** A company might have a rule that employees must submit their expense reports within 30 days of incurring the expense.

Policies:

- **Definition:** Broad guidelines or principles that dictate how an organization or entity should operate. Policies are designed to guide decision-making and ensure consistency.
- **Scope:** Broader than rules and often set the framework within which rules are developed.
- **Example:** An organization might have a policy on employee conduct that outlines general expectations for behavior in the workplace.

Regulations:

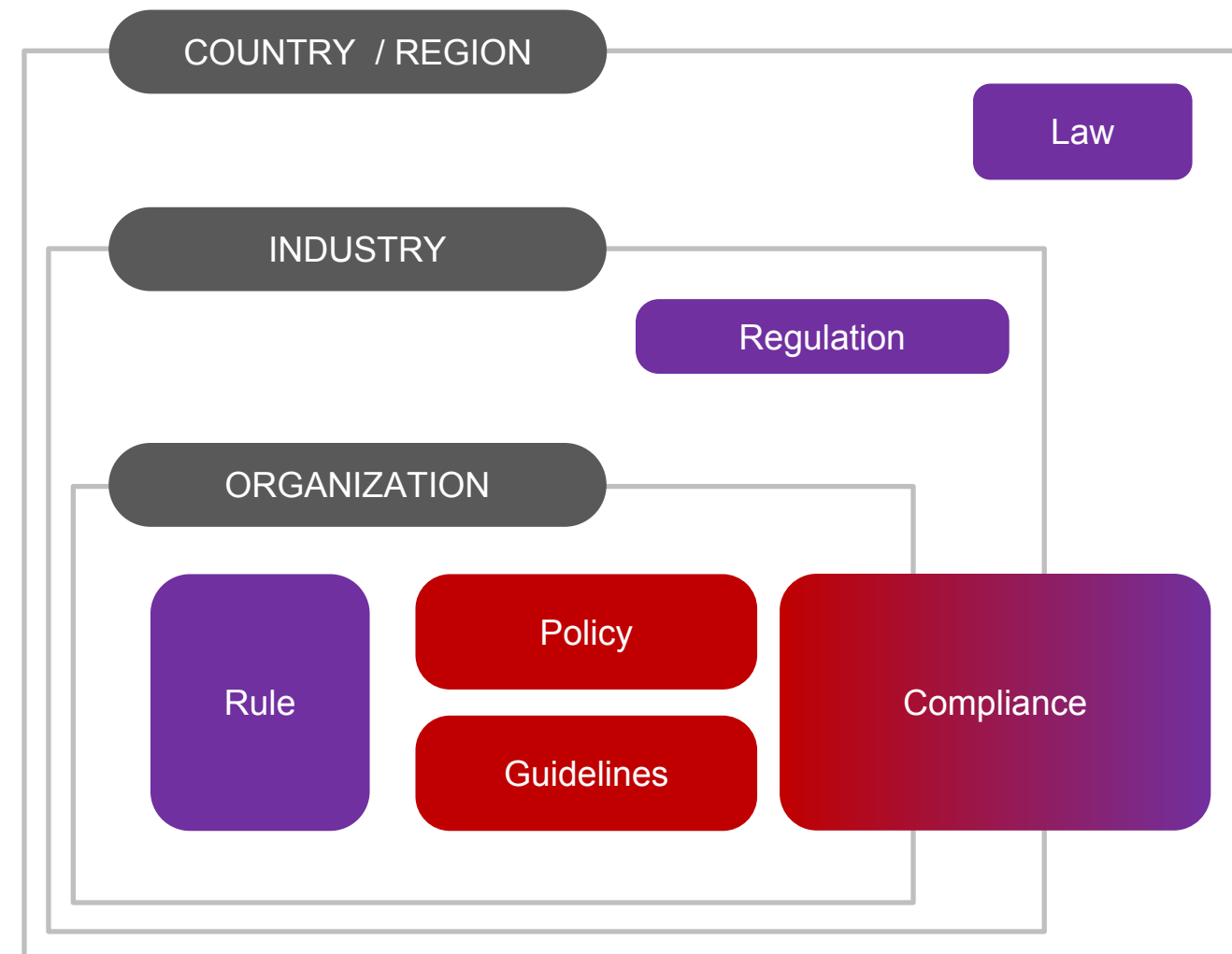
- **Definition:** Detailed directives issued by authorities or agencies that prescribe how laws should be implemented and enforced in an industry (within a country / region). They often have specific requirements or standards.
- **Scope:** Typically more specific than laws but have a regulatory authority backing them.
- **Example:** IRDA for insurance in India, SEBI for capital markets in India, Environmental regulations might specify allowable levels of pollutants for industrial emissions.

Compliance:

- **Definition:** The act of adhering to the established requirements and standards set by these directives.
- **Scope:** A broader concept that applies to following any set of governing criteria, including rules, policies, regulations, and laws. Often made mandatory by the governing law (*e.g. annual financial compliance declaration to Ministry of Corporate Affairs is mandatory for companies in India*)
- **Example:** A company's compliance department ensures that the organization follows industry regulations and internal policies.

Laws (National and International):

- **Definition:** Formal rules established by a governing authority (such as a legislature or parliament) that are legally binding and enforceable. Laws govern behavior at a national or regional level.
- **Scope:** Broad and fundamental, setting the legal framework for societal conduct and governance.
- **Example:** Company Law (country specific), Anti-Money Laundering Law / Financial Crime Law (International Laws)



 Mandatory

 Optional

 Hybrid
(mandatory or optional,
as per the scope of
compliance requirement)

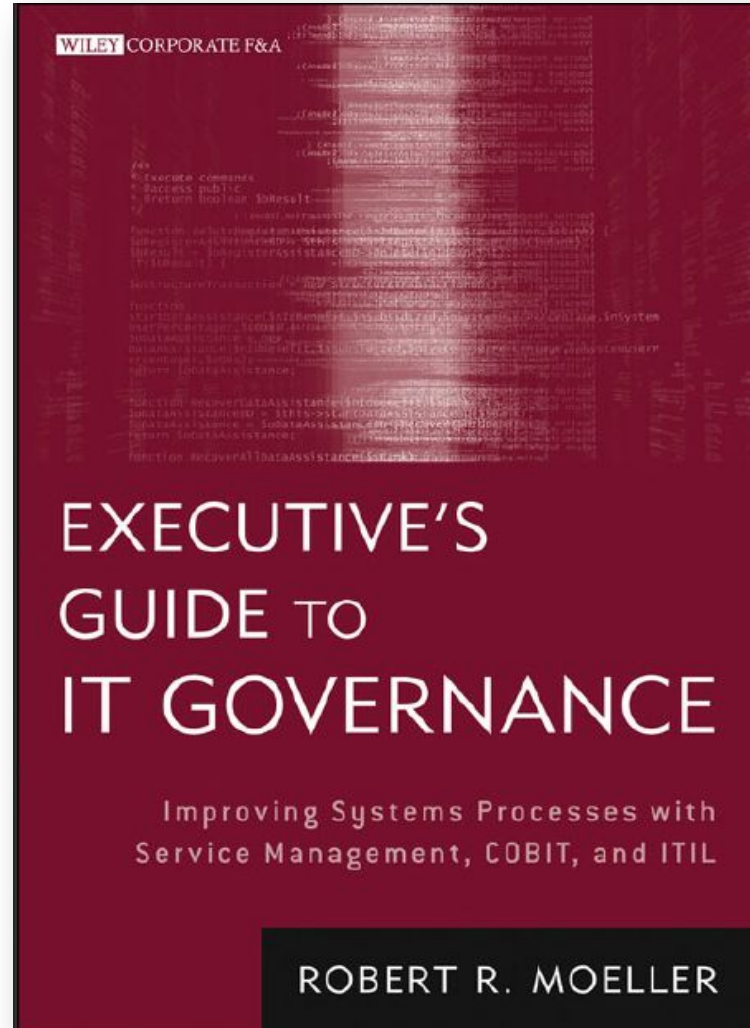


6.1

Exploring the financial impact of emerging technologies



Exploring the financial impact of emerging technologies



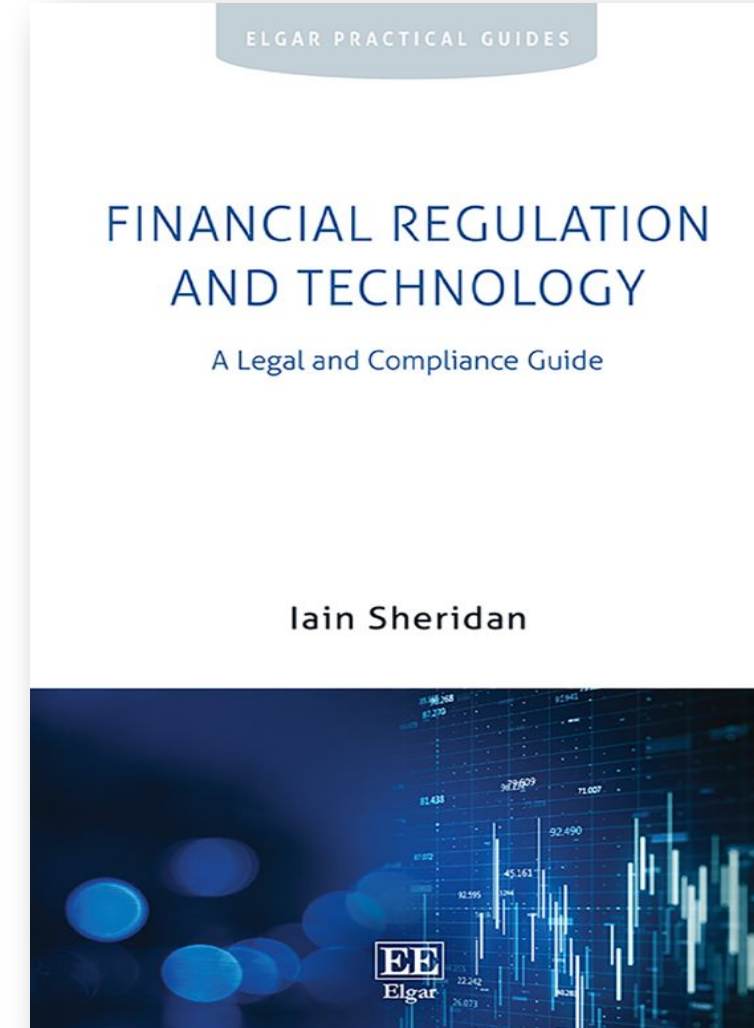
A project management and operations first perspective to IT Governance

PS:

- The origin of this book is from prominent frameworks of ITIL and COBIT. While this book serves as an excellent coverage of the foundations, the latest versions of the regulations must be used while taking IT governance decisions

URL to view:

<https://rb.gy/vc6plk>



A finance and legal perspective to IT Governance

PS:

- The applicable regulation in this book is of UK. Yet, it is highly relevant to understand the essence of regulatory control around new-age technology in the modern day and age

URL to view

<https://rb.gy/2x9r50>



6.2

Preparing for the financial implications of digital transformation



Preparation of financial implications of digital transformation



Estimating and preparing for the financial implications of digital transformation is a multifaceted task for a Chief Technology Officer (CTO). This involves not only budgeting for initial investments but also understanding long-term cost implications, potential savings, and return on investment (ROI).

1. Understand the Scope and Objectives

1.1 Define the Scope of Digital Transformation

- Identify the areas of the business that will be affected (e.g., customer service, supply chain, product development).
- Determine the technologies and processes involved.

1.2 Set Clear Objectives

- Establish what the transformation aims to achieve (e.g., increased efficiency, enhanced customer experience, new revenue streams).

1.3 Assess *Current State*

- Conduct a thorough analysis of current systems, processes, and financial status.

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Preparation of financial implications of digital transformation



2. Budgeting for Initial Costs

2.1 Technology Costs

- **Software:** Costs for new applications, licenses, and subscription fees.
- **Hardware:** Costs for servers, computers, and networking equipment.
- **Cloud Services:** Expenses related to cloud storage, computing, and SaaS solutions.

2.2 Consulting and Implementation Costs

- Hiring external consultants for expertise and guidance.
- Fees for implementation services from vendors or third-party firms.

2.3 Training and Change Management

- Costs for training staff on new technologies.
- Budget for change management initiatives to ease the transition.

2.4 Contingency Fund

- Set aside a contingency budget for unforeseen expenses.

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Preparation of financial implications of digital transformation



3. Long-Term Financial Implications

3.1 Operational Costs

- **Maintenance and Support:** Ongoing costs for system maintenance, updates, and support.
- **Subscription Fees:** Recurring costs for cloud services and software licenses.

3.2 Efficiency Gains

- Evaluate potential savings from increased operational efficiency.
- Consider the impact on labor costs due to automation.

3.3 Revenue Growth

- Estimate potential increases in revenue from enhanced customer experiences and new business models.

3.4 Risk Management

- Budget for potential risks and issues, including cybersecurity threats and system downtime.

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Preparation of financial implications of digital transformation



4. Measuring ROI and Success

4.1 Define Key Performance Indicators (KPIs)

- Set KPIs that align with the goals of the digital transformation, such as cost savings, revenue growth, or customer satisfaction.

4.2 Monitor and Evaluate

- Regularly assess the performance of new systems and processes.
- Compare actual results against projected benefits.

4.3 Adjust and Optimize

- Make adjustments based on performance data to optimize the return on investment.

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5. Develop a Financial Strategy

5.1 Create a Roadmap

- Develop a detailed financial roadmap that includes phased investments and expected returns.

5.2 Engage Stakeholders

- Communicate financial plans and expected outcomes to key stakeholders to gain support and ensure alignment.

5.3 Continuous Review

- Regularly review and adjust financial plans based on progress and changing business needs.



6.3

Case studies: Technology Compliance



CASE STUDIES

Preparation of financial implications of digital transformation



The Cambridge Analytica Scandal

Overview

In 2018, it was revealed that Cambridge Analytica, a political consulting firm, had improperly accessed the personal data of over 87 million Facebook users without their consent. The data was used to create targeted political ads during the 2016 U.S. presidential election and the Brexit referendum.

Nature of the Breach:

- **Data Misuse:** Cambridge Analytica exploited Facebook's API to harvest user data through a quiz app. Although the data collection itself was within the terms of service, the subsequent use of this data for political profiling and micro-targeting raised significant ethical concerns.
- **Lack of Transparency:** Users were not informed about how their data was being used or shared, leading to a significant breach of trust.

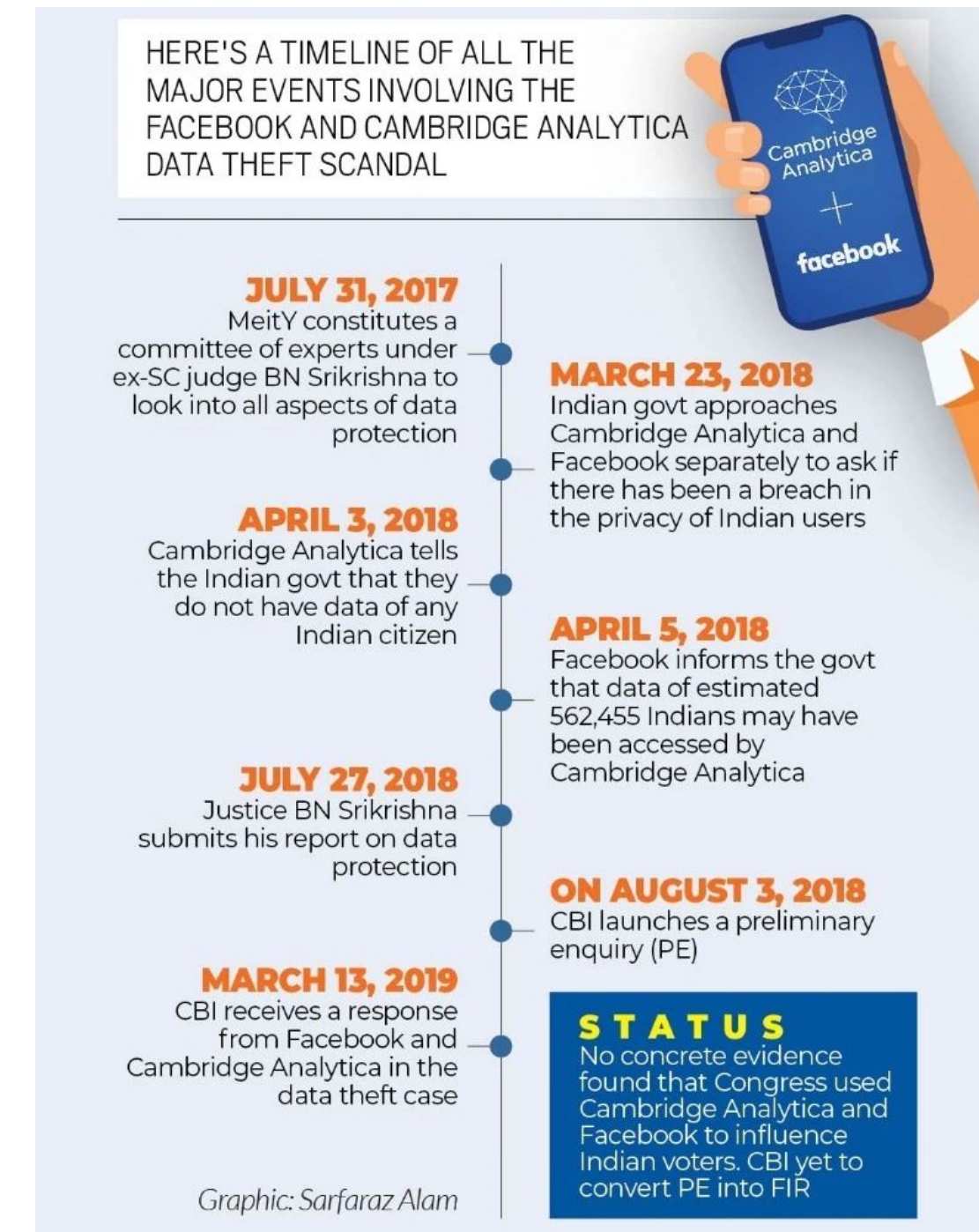
Impact:

- **Reputational Damage:** Facebook faced severe criticism and scrutiny, leading to a decline in user trust and significant public backlash.
- **Regulatory Actions:** The scandal prompted investigations by the U.S. Federal Trade Commission (FTC) and other regulatory bodies, resulting in a \$5 billion fine for Facebook.

Lessons Learned:

- **Enhanced Data Privacy:** Organizations need to ensure robust data protection measures and clear user consent processes.
- **Transparency:** Companies must be transparent about data collection and usage to maintain user trust.

Timeline of the scandal





CASE STUDIES

Preparation of financial implications of digital transformation



The Equifax Data Breach

Overview

In 2017, Equifax, one of the largest credit reporting agencies in the U.S., experienced a data breach that exposed the personal information of approximately 147 million people. The breach included sensitive data such as Social Security numbers, birth dates, and addresses.

Nature of the Breach:

- **Failure to Patch Vulnerabilities:** The breach occurred due to a failure to patch a known vulnerability in the Apache Struts web application framework, despite a patch being available.
- **Delayed Disclosure:** Equifax did not disclose the breach immediately, which further compounded the ethical concerns about their response and handling of the situation.

Impact:

- **Legal Consequences:** Equifax faced multiple lawsuits and was required to pay up to \$700 million in a settlement with the FTC, Consumer Financial Protection Bureau (CFPB), and 50 U.S. states.
- **Reputational Damage:** The breach severely damaged Equifax's reputation and raised concerns about the security of personal data handled by credit agencies.

Lessons Learned:

- **Timely Updates:** Organizations must implement timely updates and patches to address known vulnerabilities.
- **Prompt Disclosure:** Ethical practices require prompt disclosure of breaches to minimize harm and maintain transparency with affected individuals.

Thank You